



Renminbi Shift: From Potential to Practicality

July 2026



HSBC

FinanceAsia

Table of Content

Foreword.....03

Executive summary04

Methodology05

RMB development: shifting forces06

Diversification demand driving RMB adoption07

Beyond access: offshore markets & connect schemes fuelling scale 10

Rising momentum: from tactical to strategic 13

The future of RMB is about digital and depth 16

Conclusion 19

Sources.....20

Foreword

The international renminbi that works for everyone

By David Liao, Co-Chief Executive of Asia and Middle East, HSBC

The global monetary system is diversifying, driven by shifting economic gravity in Asia, new payment technologies, and a pragmatic push to align currency usage with real trade and investment flows. Renminbi (RMB) utilisation is continuing to advance steadily, with Hong Kong and interoperable infrastructure playing a central role, and trust as the deciding factor.

The US dollar remains the world's premier currency for investment, payments, and reserves, and few expect that to change in our lifetimes. Yet diversification is a clear trend, expressed in demand for alternative currencies, in enthusiasm for virtual assets and gold ... and for the RMB, the currency of the world's largest trading economy. By any measure, the RMB's global usage is well out of proportion to China's economic heft, and we do see that changing.

The rise in demand for Chinese currency is best understood as an adjustment to long-running secular trends. In addition to its export dominance, China has become a net exporter of capital, via rising outbound portfolio investment and direct investment forms including M&A. That is thanks to the country's macroeconomic stability; to the competitiveness of its corporate sector, which is beginning to produce champions across a swathe of new industries; and to the depth of its financial markets. Internally China hosts the world's second-largest bond market and vigorous equity bourses in Beijing, Shanghai, Shenzhen ... and a fully fungible hard currency market in Hong Kong.

International investors' confidence in yuan-denominated assets is inspired by the relative stability of the exchange rate and the commitment of the People's Bank of China to support healthy market development.

The yield is tangible. We see rising use of RMB in finance. Our data show increased overseas lending in RMB and increased borrowing through issuance of yuan-denominated "Dim Sum" and "Panda" bonds. In payments, China's cross-border system has seen transactions jump in 2026; roughly one third of the Chinese mainland's trade is now settled in its own currency. Hong Kong, home to the world's most active offshore RMB

market, continues to deepen connectivity and liquidity, with new channels for overseas lending in yuan.

Innovation, including the exploration of an interoperable digital yuan (the "e-CNY"), will accelerate what market forces have already set in motion.

But the global investment community must keep a few principles in mind. The process of building offshore markets for yuan-denominated assets and transactions is not solely to benefit professional investors; liberalisations must serve the interests of all Chinese people. That means expanding usage in ways that help Chinese companies and Chinese people transact more easily with the rest of the world in their own currency without provoking instability.

This demands a controlled pace of reform that does not inadvertently pull China and its trading partners into a new environment that is less reliable than the current one – replacing an imperfect but manageable construct with something less reliable and more expensive. The history of foreign exchange crises shows clearly how poorly timed or sloppily implemented liberalisations can punish economies. And it must be said: some of the recent market movements appear to be driven more by tensions, divisions and distrust than a desire for efficiency.

HSBC believes sustainable, equitable economic development will require more confidence, not suspicion. HSBC's ambition is to be an agent of trust. We invite you to join us in building a more efficient, transparent and reliable financial system that serves the global good – with the RMB as part of the foundation.